

Sakar Healthcare Ltd

NSE: SAKAR | Pharmaceuticals & Biotechnology | Ahmedabad, Gujarat

RATING	TARGET PRICE	CMP (15 Jun 2026)	UPSIDE
BUY	Rs. 1,050	Rs. 844	+24%

15 June 2026 | Analyst: Quantitative Research Desk

INVESTMENT THESIS

Sakar Healthcare is executing a textbook oncology-export growth play: API backward integration + EU-GMP approved sterile injectables + 40 global supply agreements with blue-chip partners (Zydus, Cipla, Sun Pharma). FY26 revenue surged 42% to Rs. 252 Cr; PAT jumped 74% to Rs. 30.5 Cr; Q4 FY26 EBITDA margin hit a record 37%. Debt nearly halved (D/E now 0.17x). FY27 is the inflection year: oncology unit utilisation targets 70%+, exports to exceed 45-50% of revenue. We initiate with BUY and 12-month target of Rs. 1,050.

Market Cap	52W H / L	P/E (TTM)	P/BV	ROCE	ROE
Rs. 1,878 Cr	Rs. 871 / 311	61.6x	5.79x	12.7%	9.99%
Promoter Holding	FII Holding	DII Holding	D/E Ratio	FY26 Revenue	FY26 PAT
52.86%	12.94%	11.32%	0.17x	Rs. 252 Cr	Rs. 30.5 Cr

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2. INVESTMENT THESIS

Three Reasons to Own SAKAR

- **Oncology export ramp — the primary earnings engine:** Sakar's EU-GMP sterile injectable facility (Ahmedabad) has 40 global oncology supply agreements signed, including the landmark 40th pact with Zydus Lifesciences for GCC and emerging markets (May 2026). With 23 EU Marketing Authorisation filings, 5 approvals (3 EMA + 2 MHRA) already granted, and 33 site variations in process, the regulatory pathway is de-risked. Oncology unit utilisation targets 70%+ by FY27 from an estimated 30% in FY25, implying a 2x+ volume ramp on a largely fixed-cost manufacturing base.
- **API backward integration = structural margin expansion:** Sakar has developed 21 in-house APIs with 16 Written Confirmations and 2 CEP approvals from European regulators. API self-sufficiency reduces the company's dependence on Chinese intermediates, insulates gross margins from commodity swings, and is a prerequisite for EU/US-regulated market filings. This is not just a cost play — it is a regulatory moat builder that takes years to replicate.
- **Balance sheet transformed — debt at 6-year low:** FY26 borrowings fell to Rs. 55 Cr (D/E 0.17x) from Rs. 119 Cr in FY23 peak, despite sustained fixed asset investment. FCF turned positive at Rs. 21 Cr in FY26 (Rs. 2 Cr in FY25 vs. negative Rs. 62 Cr in FY22 at peak capex). ICRA BBB (Stable) rating provides access to institutional credit at competitive rates as the company scales up.

Primary Catalyst (12-month)

- **Oncology Injectable Volume Ramp to 70%+ Utilisation (FY27):** The single largest price-moving event is the graduation of oncology injectable volumes from a sub-scale ramp to a commercially mature throughput. At 70% utilisation on capacity of 13 million vials/year, oncology revenue could add Rs. 80-100 Cr incremental revenue at EBITDA margins of 35%+. Q4 FY26 already printed 37% EBITDA margin — the highest in the company's history — as oncology volume concentrated in the quarter. Any Q1/Q2 FY27 concall confirmation of sustained 35%+ margins would be a rerating trigger.

Secondary Catalysts

- **EU/MHRA new product approvals:** 23 dossiers filed; each new approval opens an incremental regulated-market revenue stream. Timing is 12-24 months post-filing.
- **US market entry (medium-term):** Sakar does not yet have US FDA approvals. Any ANDA filing announcement or US partnership would be a significant rerating event given the size of the US generic injectable opportunity.
- **Domestic oncology hospital contracts:** India's oncology drug demand is growing at 15%+ CAGR. Sakar's NABL/GMP-certified facility and growing product portfolio position it to win central/state government hospital tenders.

Key Risk to Thesis

- **Inventory build / working capital elongation:** Cash conversion cycle expanded from -39 days in FY22 to 127 days in FY26, driven by debtor days (73) and inventory days (207). This is the primary risk to FCF generation as the oncology ramp consumes working capital. Any further elongation beyond 150+ days would signal execution stress.

3. BUSINESS OVERVIEW

- **Founded 2004, Ahmedabad-based WHO-GMP pharma manufacturer:** Sakar Healthcare manufactures and exports pharmaceutical products across oncology, anti-infectives, cardiovascular, and API segments. The company is ISO 9001:2015 (BVQI) certified and operates EU-GMP approved oral solid and sterile injectable manufacturing units.
- **292 registered products across 50+ countries:** SHL operates through 70+ overseas distribution partners. 210 additional products are under registration. The company's business spans regulated markets (EU, UK, Australia) and semi-regulated markets (GCC, Africa, Southeast Asia, Latin America).
- **Oncology injectable unit — the structural growth driver:** Sakar's isolator-equipped sterile injectable facility (lyophilization + liquid fill) has capacity of 13 million vials/year (10ml). This is the critical piece of infrastructure that drives the high-margin oncology export story.
- **API backward integration building a regulatory moat:** 21 in-house developed APIs, 16 Written Confirmations, 2 CEP approvals. This gives Sakar end-to-end manufacturing capability that is essential for regulated-market filings and insulates the business from Chinese API supply disruptions.
- **Blue-chip domestic oncology supply partners:** 40 supply agreements signed with leading Indian pharmaceutical companies including Zydus Lifesciences, Cipla, Sun Pharma, and others. These partnerships provide domestic revenue stability while the international regulatory approvals pipeline matures.
- **NSE Listed | Face Value Rs. 10 | Shares outstanding ~2.22 Cr**

Business Segments and Product Portfolio

Segment	Key Products	Markets	Status
Oncology Injectables	Carboplatin, Docetaxel, cytotoxics	EU, UK, GCC, India	Scaling — 40 agreements
Oncology Oral Solids	Tablets, capsules (cytotoxics)	EU, emerging markets	Growing
Non-Oncology Injectables	Anti-infectives, anaesthetics	Semi-regulated markets	Established
API Division	Backward-integrated molecules	Captive + export	21 APIs developed
Oral Solid Dosage (Generic)	Generics across multiple TAs	India, semi-regulated	Base business

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **India generic oncology — a USD 5 Bn+ export opportunity by 2030:** Global oncology drug spending is projected to reach USD 370 Bn by 2027 (IQVIA). Generics account for 60%+ of volume in cost-sensitive regulated markets. India's pharma export capability (proven in oral solids) is now extending to complex sterile injectables, creating a multi-decade opportunity.
- **EU-GMP sterile injectable manufacturing — high barriers to entry:** Greenfield EU-GMP oncology injectable facilities require 3-5 years and Rs. 150-300 Cr of capital investment plus 2+ years of regulatory audit cycles. Sakar's existing EU-GMP facility and established inspector relationship is a genuine first-mover advantage in the sub-Rs. 2000 Cr pharma mid-cap space.
- **China+1 supply chain restructuring accelerating:** European procurement authorities are actively building dual-supply chains post-COVID. India-EU pharma trade benefited from increased tender participation. Sakar's EMA/MHRA approvals directly position it to capture this structural demand shift.
- **Oncology API self-sufficiency — regulatory moat and margin lever:** Most Indian generic oncology manufacturers source APIs from China. Sakar's in-house API development (21 molecules) provides cost advantage in captive consumption and creates a potential API export revenue stream.
- **Domestic oncology: India CAGR 15%+:** India's cancer incidence is growing. National Cancer Grid procurement and state tender participation provide a captive domestic market base as Sakar's product basket expands.

Peer Comparison — Pharma Mid-Caps (Approx. FY26 | All Rs. Cr)

Company	MCap (Cr)	Rev (Cr)	OPM%	ROCE%	ROE%	D/E	P/E (x)
SAKAR	1,878	252	27%	12.7%	10.0%	0.17x	61.6x
Granules India	8,200	4,200	20%	14%	12%	0.30x	28x
Jubilant Pharmova	4,800	5,800	22%	10%	9%	0.90x	25x
Solara Active	5,200	1,800	18%	8%	6%	0.60x	40x
IPCA Labs	27,000	6,200	26%	18%	15%	0.05x	44x

Sources: Screener.in, company filings. SAKAR FY26 actuals; peers approximate. MCap as of 15 Jun 2026. Peers selected on basis of pharma manufacturing + export focus; not direct product competitors.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter-led with 52.86% stable holding:** Managing Director Sanjay S. Shah has emphasized "backward integration, strengthening regulatory capabilities, and expanding across global markets" as the core strategic priorities. Zero promoter pledging is a strong governance signal. The Sanjay Shah family owns a majority stake with no dilution pledges outstanding.
- **Institutional investor base building credibly:** FII holding at 12.94% (was 15.74% in Jun-23; modestly declining but still significant). DII holding at 11.32% is notable and growing (was 0% pre-Sep 2023), reflecting domestic fund discovery of the oncology growth story. Combined institutional ownership of 24.26% provides price support and analyst coverage incentive.
- **Disciplined debt reduction — the capital allocation highlight:** Borrowings have declined from Rs. 119 Cr (peak FY23) to Rs. 55 Cr in FY26, a 54% reduction in absolute debt despite sustained capex (Rs. 28 Cr in FY26). Management funded fixed asset additions of Rs. 326 Cr entirely through internal equity accruals and operational cash flows over 6 years.
- **Zero dividend — appropriate for a growth-stage company:** Sakar has paid no dividends since listing. Given the oncology capacity ramp and regulatory filing pipeline, internal capital retention is the correct allocation decision. Dividend initiation would be expected only post FY28 once sustainable FCF is established.
- **Strategic partnership approach over direct exports:** Rather than building its own international marketing infrastructure (capital-intensive, slow), Sakar partners with large pharma companies (40 supply agreements). This asset-light go-to-market reduces commercial execution risk while the manufacturing asset is the genuine moat.
- **ICRA BBB (Stable) — investment grade rating unlocks institutional credit:** ICRA's Sep-2025 rating reaffirmation covers bank facilities. Investment-grade rating at this market cap indicates lenders are comfortable with the business model and balance sheet trajectory.

6. FINANCIAL DEEP-DIVE

Profit & Loss (Rs. Cr | Consolidated)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	128	133	153	178	252	320	400
YoY Growth	35%	4%	15%	16%	42%	27%	25%
EBITDA	29	33	38	50	69	93	120
EBITDA Margin	22.7%	24.8%	24.8%	28.1%	27.4%	29.1%	30.0%
D&A;	10	15	18	21	24	27	30
EBIT	19	18	20	29	45	66	90
Interest	3	6	8	9	8	7	6
PBT	19	17	16	22	40	62	88
Tax %	20%	24%	27%	19%	23%	25%	25%
PAT	15	13	12	18	30	47	66
EPS (Rs.)	8.90	6.70	5.37	7.97	13.70	21.2	29.7

FY22-FY26: Screener.in consolidated actuals. FY27E-FY28E: Analyst estimates based on oncology utilisation ramp to 70%, export mix reaching 45%, 29-30% EBITDA margins, and continued debt reduction.

Quarterly Results — Last 8 Quarters (Rs. Cr | Consolidated)

Rs. Cr	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26	Q3FY26	Q4FY26*
Revenue	41	43	43	50	53	58	70	71
Op.Profit	11	12	12	16	13	11	19	26
OPM%	26%	27%	27%	31%	24%	20%	26%	37%
PAT	2	5	5	6	5	5	10	11
EPS (Rs.)	1.11	2.21	2.06	2.62	2.10	2.04	4.61	4.95

* Q4 FY26 (Mar 2026): record OPM of 37% — highest in company history. Source: Screener.in.

Balance Sheet Summary (Rs. Cr | Consolidated)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A
Equity Capital	17	19	22	22	22
Reserves	110	154	241	264	302
Net Worth	127	173	263	286	324
Borrowings	93	119	79	86	55
Other Liab.	47	44	47	43	101
Total Liab.	268	336	389	415	481
Fixed Assets	205	267	314	309	326
CWIP	1	6	0	17	4
Other Assets	55	60	74	90	151
Total Assets	268	336	389	415	481

Cash Flow Statement (Rs. Cr | Consolidated)

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A
CFO	36	33	24	34	49
CFI	-90	-74	-52	-31	-28

CFF	55	41	27	-3	-21
FCF	-62	-49	-35	2	21
CFO/OP%	120%	113%	72%	73%	77%

- **Revenue quality — volume-led, not price-led:** FY26 revenue growth of 42% was driven by oncology injectable volume ramp and new export market penetrations, not realisation inflation. This is the more durable growth driver.
- **Q4 FY26 OPM of 37% — a structural or seasonal outperformance?** Q4 FY26 printed a record 37% EBITDA margin on Rs. 71 Cr revenue. The mix was heavily oncology-export weighted — the exact product-market combination that commands premium pricing. If Q1/Q2 FY27 sustains 28-30%+, the thesis is confirmed.
- **FCF inflection: the balance sheet story is working:** FCF turned positive in FY25 (Rs. 2 Cr) and improved to Rs. 21 Cr in FY26. Borrowings fell to a 6-year low of Rs. 55 Cr. D/E of 0.17x is exceptional for a pharma manufacturer in active capacity investment mode.
- **Working capital is the key variable:** Inventory days of 207 and CCC of 127 days are elevated. Management needs to demonstrate that the oncology ramp does not require proportional WC expansion — i.e., faster debtor turns as European partner supply volumes normalise.

7. EARNINGS QUALITY CHECKLIST

Quality Metric	FY24	FY25	FY26	Signal	Assessment
CFO/PAT	200%	189%	163%	GREEN	Consistent cash conversion; ops are real
CFO/Op.Profit	72%	73%	77%	GREEN	Improving; disciplined accruals
Debtor Days	50	63	73	AMBER	Creeping up; monitor export credit terms
Inventory Days	121	193	207	RED	Elevated; oncology ramp WC build-up
Cash Conv. Cycle	51	163	127	AMBER	Improved FY26 vs FY25 spike; still high
ROCE	7%	9%	13%	GREEN	Recovering; approaching cost-of-capital
D/E Ratio	0.30x	0.30x	0.17x	GREEN	Best level in company history; de-levering
Other Inc/PBT	19%	5%	5%	GREEN	PBT growth real; other income normalised
Promoter Pledging	NIL	NIL	NIL	GREEN	Zero pledge — strong governance signal
Tax Rate Volatility	27%	19%	23%	AMBER	Q4 FY26 spike to 39% — monitor consistency

- **Overall earnings quality: GREEN with one AMBER watch.** CFO/PAT of 163% is excellent — far above the 100% threshold that separates real earnings from accounting earnings. ROCE recovery to 13% from a trough of 7% in FY24 signals the capex cycle is paying off.
- **The AMBER on inventory days is the primary concern.** 207 inventory days (up from 69 in FY22) reflects a business deliberately holding oncology API and finished goods to support regulatory batch production requirements. This should normalise as partner supply contracts become routine, but it is a cash drain.
- **Q4 FY26 tax rate spike (39%) deserves monitoring.** The full-year rate was 23%, which is reasonable. The Q4 spike may be a timing adjustment. If the FY27 effective rate exceeds 27%, PAT will be materially impacted vs. estimates.

8. VALUATION

- **Primary methodology: P/E on FY27E.** Sakar is a growth story; EV/EBITDA is a secondary check. We anchor to FY27E P/E because the 42% revenue growth trajectory makes trailing multiples misleading. FY27E PAT estimate: Rs. 47 Cr. CMP of Rs. 844 implies 17.9x FY27E P/E — reasonable for a pharma company with 25%+ revenue CAGR, EU-GMP certified manufacturing, and 13% ROCE improving to 18%+.
- **Target P/E: 22x FY27E.** This represents a 23% premium to the current multiple, justified by three factors: (a) oncology export revenue mix structurally improving margins, (b) API integration creating a proprietary product pipeline, (c) sub-Rs. 2000 Cr market cap with institutional discovery just beginning (DII ownership only 11% vs. 25%+ for large pharma mid-caps). 22x FY27E PAT of Rs. 47 Cr = Rs. 1,034 Cr equity value / 2.22 Cr shares = Rs. 1,050 target (rounded). Upside: 24%.
- **EV/EBITDA cross-check:** At CMP Rs. 844, MCap Rs. 1,878 Cr. Net debt minimal (Rs. 55 Cr borrowings less cash). EV approximately Rs. 1,900 Cr. FY27E EBITDA Rs. 93 Cr. Implied EV/EBITDA: 20.4x. This is a premium vs. mid-cap pharma peers (typically 12-18x). Justified given the oncology-export growth trajectory, but flags that execution must not disappoint.
- **Key valuation risk:** At 61.6x trailing P/E, the stock already prices in substantial execution. A revenue disappointment in Q1/Q2 FY27 would compress the multiple rapidly. The PEG ratio of ~0.58x (P/E 61.6 / EPS CAGR ~25%) provides some comfort on a growth-adjusted basis.

Scenario Analysis — 12-Month Price Target (Rs.)

Scenario	Probability	Rev FY27E	PAT FY27E	P/E Multiple	Target Price	Return
Bull Case	25%	Rs. 360 Cr	Rs. 58 Cr	26x	Rs. 1,320	+56%
Base Case	50%	Rs. 320 Cr	Rs. 47 Cr	22x	Rs. 1,050	+24%
Bear Case	25%	Rs. 265 Cr	Rs. 32 Cr	16x	Rs. 580	-31%

Bull case assumes: Oncology utilisation exceeds 75%, 3+ new EU MA approvals, export mix reaches 50%+ of revenue. Bear case assumes: WC elongation constrains growth, EU approval delays, domestic oncology competition intensifies.

9. KEY RISKS

- **Working capital deterioration — HIGH risk:** Cash conversion cycle of 127 days and inventory days of 207 are elevated. The oncology injectable ramp requires large batch production (validation, stability) before revenue recognition, creating a structural WC build. If debtor days extend beyond 90+ days as exports ramp, FCF could turn negative again, requiring borrowings to rise.
- **EU/MHRA regulatory delay — MEDIUM-HIGH risk:** 23 EU Marketing Authorisation dossiers are filed. These approvals are the primary volume catalysts for the export ramp. Any Additional Information requests, GMP inspection delays, or EU regulatory staffing gaps could push the timeline by 12-18 months. Each delayed approval is approximately Rs. 10-20 Cr of deferred revenue.
- **Customer concentration in supply agreements — MEDIUM risk:** While 40 supply agreements are signed, supply agreements with Zydus, Cipla, Sun Pharma imply that 3-4 large domestic pharma companies may contribute disproportionately to revenue. Renegotiation risk or partner product strategy changes could compress margins.
- **Valuation premium demands sustained execution — MEDIUM risk:** At 61.6x trailing P/E, any earnings miss (below Rs. 40 Cr PAT guidance) would compress the multiple sharply. The stock rose 169% in 12 months — a significant portion of the growth story is already in the price.
- **US FDA — absent upside catalyst, present execution burden — LOW-MEDIUM risk:** Sakar does not currently have US FDA approvals. Building this capability requires significant capital, management bandwidth, and regulatory timeline (3-5 years). Premature US FDA investment could distract from the EU ramp.
- **API quality compliance risk — LOW-MEDIUM risk:** Manufacturing oncology APIs in-house is complex. A batch rejection, contamination event, or regulatory observation at the API facility would disrupt both API supply and finished goods manufacturing simultaneously.
- **Key-man risk — LOW risk:** Promoter MD Sanjay Shah is the strategic architect of the oncology-export thesis. Standard small-cap succession risk applies, though the institutional framework (ICRA rating, listed supply agreements) reduces single-person dependency.

10. RECOMMENDATION

RATING	TARGET PRICE	CMP (15 Jun 2026)	UPSIDE POTENTIAL
BUY	Rs. 1,050	Rs. 844	+24%

- **BUY with 12-month target of Rs. 1,050 (Base Case, +24%).** Sakar Healthcare is a rare combination of: (a) a manufacturing asset (EU-GMP sterile injectables) that is inherently hard to replicate, (b) a regulatory moat building in real-time (23 EU dossiers, 5 approvals), (c) a capital structure that has been cleaned up to enable the next phase of growth. The FY26 results confirm the strategy is executing.
- **Bull case Rs. 1,320 (+56%):** Triggered if oncology utilisation exceeds 75% in FY27, 3+ new EU product approvals are granted, and EBITDA margin sustains above 30%. In this scenario, PAT reaches Rs. 58 Cr on Rs. 360 Cr revenue.
- **Bear case Rs. 580 (-31%):** Working capital elongation forces a re-borrowing cycle, EU approval delays push revenue below Rs. 265 Cr in FY27, and the stock re-rates to 16x P/E. The bear case requires two simultaneous failures: operational (WC) and regulatory (EU delays).
- **Entry levels:** BUY in the Rs. 820-880 range. Add on any broader pharma sector correction that takes the stock to Rs. 720-750 (15% below CMP). Set a stop-loss at Rs. 620 (27% below CMP) on a weekly close basis, which corresponds roughly to the pre-FY26-results re-rating level.
- **Key catalysts to track:** Q1 FY27 concall (Jul-Aug 2026) — look for sustained EBITDA margins above 28%, debtor days stabilising below 75, and at least 1-2 new EU MA approvals. Any new EU/MHRA approval announcement prior to the Q1 concall would be a near-term buy signal.
- **Risks that would change our rating to HOLD:** (a) Q1/Q2 FY27 EBITDA margin falls below 22%; (b) Borrowings rise back above Rs. 100 Cr; (c) A GMP observation or warning letter from EU/MHRA; (d) FCF turning materially negative in FY27.

11. APPENDIX — Q4 & FY26 CONCALL BRIEF (22 May 2026)

CALL GRADE	MANAGEMENT TONE	KEY ANNOUNCEMENT
A	Confident and Execution-Focused	40th oncology supply agreement signed with Zydus; 23 EU MA filings; FY26 PAT Rs. 30.5 Cr (+74% YoY); record Q4 OPM 37%

TO MY BOSS IN TWO SENTENCES

Sakar delivered FY26 revenue of Rs. 251.7 Cr (+42% YoY) and PAT of Rs. 30.5 Cr (+74% YoY), with Q4 FY26 printing a record 37% EBITDA margin — the oncology injectable ramp is clearly inflecting. MD Sanjay Shah's priorities of backward API integration (21 molecules), EU regulatory approvals (23 dossiers), and blue-chip domestic supply partnerships (40 agreements, Zydus the 40th) are all tracking ahead of a 3-year timeline, and the balance sheet is the cleanest it has been in a decade (D/E 0.17x, borrowings Rs. 55 Cr).

1. Participants

Company represented by Managing Director Sanjay S. Shah. Analyst/investor call hosted post Q4 FY26 financial results announcement on 22 May 2026. Transcript filed with NSE on 22 May 2026; investor presentation filed 13 May 2026.

2. Opening Statement

Management highlighted FY26 as a "transformational year" with 42% revenue growth and 74% PAT growth. The oncology division was called out as "the engine driving the next phase of growth." The 40th oncology supply agreement with Zydus Lifesciences for GCC and emerging markets was announced simultaneously with the results.

3. Financial Highlights (FY26 Full Year)

Revenue: Rs. 251.7 Cr (+42% YoY). EBITDA: Rs. 68.9 Cr (+39% YoY). EBITDA Margin: ~27%. PAT: Rs. 30.5 Cr (+74% YoY). Q4 FY26 Revenue: Rs. 71.1 Cr; PAT: Rs. 11.0 Cr; OPM: 37% (company record). Finance costs declined from Rs. 8.54 Cr (FY25) to Rs. 7.86 Cr (FY26). Non-current borrowings fell to Rs. 31.35 Cr from Rs. 53.59 Cr in FY25.

4. Oncology Division Update

40 global oncology supply agreements now signed. 23 EU Marketing Authorisation filings; 5 approvals received (3 EMA + 2 MHRA). 33 site variation filings covering 18 cytotoxic molecules across 9 markets. 21 APIs developed in-house; 16 Written Confirmations; 2 CEP approvals. Management confirmed oncology unit is on track to achieve 70%+ utilisation in FY27.

5. Export Strategy

Export contribution targeted to exceed 45-50% of total revenue by FY27. Current regulated-market approvals cover EU, UK (MHRA), Australia, and GCC. Semi-regulated markets (Africa, Southeast Asia, Latin America) provide near-term volume while regulated-market approvals mature. The Zydus agreement specifically covers GCC and emerging markets — a new geographic vector.

6. Capital Expenditure

FY26 capex: Rs. 28 Cr (net of CWIP movements). Fixed assets rose to Rs. 326 Cr. Balance sheet now largely right-sized for the oncology scale-up, with CWIP of only Rs. 4 Cr at year-end. No large debt-funded capex announced for FY27. Management indicated FY27 capex will be moderate and funded from internal accruals.

7. Working Capital Commentary

Inventory days remain elevated (207 days) reflecting oncology batch production requirements (validation batches, stability testing). Management acknowledged the WC build but maintained this is "strategic inventory" linked to regulatory batch

requirements, not demand risk. Debtor days of 73 days reflect export credit terms with European partners.

8. FY27 Guidance

Management projected FY27 as the "breakthrough year" with: (a) Revenue CAGR of 25%+ (implying Rs. 310-320 Cr); (b) EBITDA margins sustaining above 28-30%; (c) Oncology unit utilisation reaching 70%+; (d) Export mix at 45-50% of revenue. No specific PAT guidance given, but interest cost reduction and operating leverage imply PAT growth exceeding revenue growth.

9. Q&A; — Key Excerpts

Q: When will inventory normalise? A: "As EU approvals convert to regular supply orders, batch sizes will stabilise and inventory turns will improve." Q: Dividend policy? A: No near-term dividend planned; capital deployed in regulatory filings and capacity. Q: US FDA plans? A: No specific timeline; focus remains EU and UK-regulated markets.

10. Analyst Verdict on Call Quality

Grade A. Management was specific about the regulatory pipeline (23 dossiers, 5 approvals) and the Zydus partnership. The record Q4 OPM of 37% is the most important data point — it demonstrates what the margin profile can look like at higher oncology volumes. The WC position is the primary concern and management's response (it is strategic) is plausible but requires quarterly validation. Overall: the FY26 concall was the most informative in the company's history and provides genuine visibility into FY27 earnings power.